ARP – Workshop 1

Practice Questions

Question 1: Impairment

Stars Limited (Stars) has 2 divisions and there are indicators which suggest the divisions may be impaired. The finance manager has determined that each division is a cash generating unit and has calculated the fair value less costs of disposal and value in use for both.

Corporate assets

The two divisions share a centralised head office which has a carrying amount of £780k.

Division A

	£000
Property, plant and equipment	1,500
Investment property	300
Intangible assets	450
Carrying amount	**2,250**

The fair value and value in use of division A has been based on the assets above plus its share of the corporate assets.

The fair value less costs of disposal is £2,400k and the value in use is £2,350k.

Division B

	£000
Property, plant and equipment	750
Intangible assets	80
Inventories	100
Carrying amount	**930**

The fair value and value in use of division B has been based on the assets above plus its share of the corporate assets.

The fair value less costs of disposal is £1,200k and the value in use is £900k.

Required
Prepare, showing all workings and providing explanations, journal entries to account for any impairment.

Question 2: Impairment

A company operates several department stores, each of which is a separate cash-generating unit. Three of these stores were bought from a competitor several years ago, when goodwill of £1,750,000 arose. The directors of the company are concerned that these three stores and the goodwill may be impaired.

	X	**Y**	**Z**
	£000	**£000**	**£000**
Carrying amount (PPE)	2,250	3,500	1,750
Fair value less costs of disposal	2,000	3,000	1,600
Value in use	2,500	3,300	1,250

It has not been possible to allocate goodwill to individual stores. The three stores form the smallest cash-generating unit to which the goodwill can be allocated and management monitor goodwill at this level. The recoverable amount of the three stores together is estimated at £8,500,000. There has been no previous impairment of goodwill.

Required
Prepare, showing all workings and providing explanations, the journal entry for any impairment loss.

Question 3: Deferred tax

The following information has been provided by the directors of Funky Ltd [‘Funky’] at 30 June 20X6:

- At 30 June 20X6, Funky had plant and machinery qualifying for capital allowances with a carrying amount of £50,000,000. The tax written down value at that date was £30,000,000.
- The directors revalued land from £15,000,000 to £20,000,000 on 30 June 20X6.
- Funky had £1,000,000 of rolled over capital gains on buildings at 30 June 20X6.
- Funky had a deferred tax liability at 30 June 20X5 of £1,500,000, all relating to accelerated capital allowances.
- The applicable tax rate is 25%.

Required
Calculate, showing all workings, the deferred tax liability at 30 June 20X6 and prepare the necessary journal entry.

Question 4: Leases

You are the finance manager of Bruges Limited (Bruges) and you are finalising the accounting for some leases that the company has entered into before the 31 December 20X3 financial statements can be completed.

Information on each of the leases can be found in Appendix 1.

Required:

Lease 1 & 2: Advise how both leases (including the right of use asset) should be accounted for in the year ended 31 December 20X3. You should provide supporting calculations and journal entries are required.

Lease 3: Prepare, showing all workings, the journal entries necessary to account for lease 3 for the year ended 31 December 20X3.

Appendix 1

Lease 1

On 1 January 20X3, Bruges entered into a 4 year lease and has the option to purchase the asset at the end of the term**.**

The consideration is made up of:

- £10,000 fixed payment in arrears each year
- 2% of revenue generated by the asset, subject to a minimum of £2,000

During the year ended 31 December 20X3, the total revenue subject to the lease was £250,000. Revenue is budgeted at £250,000 for the remaining 3 years of the lease.

Bruges is reasonably certain that they will purchase the asset at the end of the 4 year term. The purchase price is £15,000.

The asset has a useful life of 6 years and the interest rate implicit in the lease is 5%.

Lease 2

On 1 January 20X2, Bruges entered into a 3 year lease with an option to extend the lease term by a further 2 years. At the start of the lease, Bruges did not think they would extend the lease.

However, on 31 December 20X3 circumstances have changed and the company is now highly likely to extend the lease. At 31 December 20X3, there was 1 year left of the original 3 year term.

Annual payments of £5,000 are payable in arrears for the original 3 year term. If the extension option is exercised, the annual payment will be £4,000 in arrears for the 2 extra years. At 1 January 20X3 the interest rate implicit in the lease is 6%.

At 31 December 20X3 prior to any amendments for the change in lease term, the lease liability is £4,717 and the RoU asset has a carrying amount of £4,455. All accounting journals have been posted correctly and it is just the amendment to the lease term that needs to be accounted for.

At 31 December 20X3, the date of the remeasurement, Bruges' incremental borrowing rate was 8%.

Lease 3

On 31 December 20X3, Bruges entered into a sale and leaseback agreement. The asset was sold for £1.3m on this date. The asset had a carrying amount of £1m and a fair value of £1.1m. Bruges immediately leased the asset back for a 7 year lease term. The annual payments will be £50,000 and will be paid in arrears. The first payment will be on 31 December 20X4. The interest rate implicit in the lease is 4%. It has already been determined that this agreement is a sale and should be accounted for accordingly.



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